

Paid Time Off Policy

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Owner	People Operations
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1. Purpose

This policy describes how full-time employees of Northwind Robotics accrue and use paid time off (PTO). Version 3.0 introduces tenure-based accrual and changes the carry-over rules. It replaces version 2.0 in full.

2. Accrual

Annual PTO entitlement for full-time employees depends on completed years of service, measured on January 1 of the calendar year:

Completed years of service	Annual PTO	Monthly accrual
0 - 2 years	20 days	1.67 days
3 - 5 years	23 days	1.92 days
6 years or more	25 days	2.08 days

Part-time employees accrue PTO pro rata to their contracted hours. PTO begins accruing on the first day of employment. The 90-day waiting period in version 2.0 is reduced to 60 days.

3. Carry-over

Unused PTO of up to **3 days** may be carried into the next calendar year. Carried-over days must be used by **March 31** of that year; any carried-over days not used by March 31 are forfeited. Any unused balance above 3 days is forfeited on December 31.

Transition rule for 2026 only: balances carried from 2025 under version 2.0 (up to 5 days) are honoured in full but must also be used by March 31, 2026.

4. Requesting PTO

Requests must be submitted at least 5 business days in advance through the HR portal. Requests of more than 10 consecutive business days require director approval.

5. Payout on exit

Accrued, unused PTO is paid out on termination where required by local law.